

in some cases, Rs 80 per new activation where Airtel and Vodafone are offering between Rs 30 and Rs 45, says Abdul Kausar, a Bangalore-based retailer. Rishit Shah, an Ahmedabad-based dealer, gets a sweet deal from Reliance. For selling a Rs 100-card to a consumer, and a first recharge of Rs 50, he can make a margin of Rs 85, which includes incentives and bonus. The others, he says, offer Rs 20. MTS offers Rs 75 on a basic activation of Rs 100 and first recharge of Rs 50.

The ultimate clincher remains distribution and service. While Docomo began with a bang, supply has slowed down. Says Kausar, "I only get one or two days of stock. Sometimes it takes a week to get SIMs from the company." That is where the likes of Airtel with their 1.3 million distributors score. Better planning too ensures steady supply. "Retailers are keen on promoting brands which have less problems," says Raghunath Mandava, chief marketing officer, mobile services, Bharti Airtel. Which is why the company is now aggressively working on more service centres, including 25,000 in rural areas.

Thanks to its shared back-end infrastructure with Tata Indicom and Virgin, Tata Docomo has kept costs down by 35-40 per cent. As it does not have a high subscriber base, it has a less congested network. This would enable it to add subscribers without cutting back on quality. But this strategy might not work in the long run. PPS could be limited to short calls and

SMSES where it works out cheaper. For longer durations, the 40-50 paise/minute plans are cheaper.

Tariff wars have led the industry to rework the economics of the business. The growth in revenues is hardly commensurate with that of subscribers. "Fierce competition in urban circles, rural sales hit by delayed monsoon and lower revenues because of multiple SIM usage is already hurting the industry," says Himanshu Kapania, director-operations, Idea Cellular. Furthermore, as Average Revenues Per User (ARPU) decline and new players join the fray, can tariffs fall further? No, feels Prashant Singhal, partner and head of telecom practice at Ernst and Young: "Any further and the industry would bleed."

A report by Emkay Global Financial Services says: "With aggressive tariff cuts resulting in sharp fall in revenue per minute to our estimate of 47 paise in FY 2011 and Earning Before Interest Depreciation Taxes and Amortisation (EBIDTA) per minute of 12 paise, the paybacks turn unattractive." Tapan Tripathy, director marketing at MTS, says the next tariff battle could be in the 110 space where rates remain high. New players could also look at cutting tariffs within their networks, where the margins lie.

Analysts have already given a thumbs down to the price wars. A report by rating agency Fitch says it will have a significant impact on industry revenues and profitability. EBIDTA margins of existing operators will fall on lower ARPUS while the exaggerated tariff cuts may reduce ARPUS by 10-15 per cent. This means that the operators will have to compare the value derived from the new customer with the revenue lost from the existing ones due to cut-throat pricing. While the likes of Sridhar will jet-set to more exotic places, it is the consumer who is laughing across networks. ■

"We will not play on price but we will also not let others take an advantage."

ATUL BINDAL,
President-Mobile Services, Bharti Airtel



KUMAR RAMANATHAN,
Chief Marketing Officer, Vodafone Essar

"Per second pulse is not the issue. It is the rate. This tariff is unsustainable."

